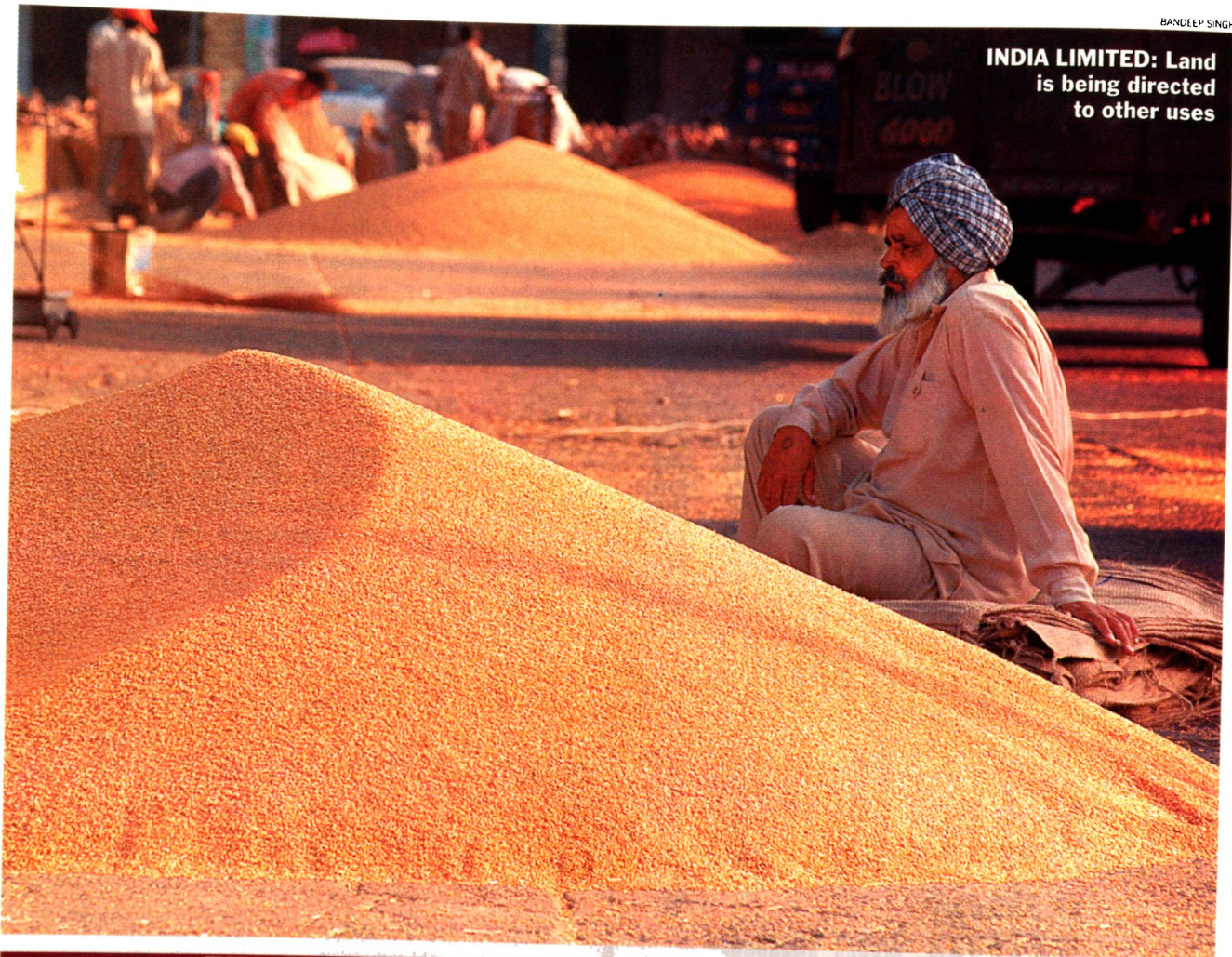


INDIA LIMITED: Land is being directed to other uses



THE CRISIS

- Land available for foodgrain cultivation has been dropping steadily and now is 120 million hectare
- Fragmented holdings of land—the average size of holdings declined from 2.63 hectare in 1960-61 to 1.06 in 2002-03, making it difficult for farmers to come out of the poverty trap
- Restrictive and outdated land laws that do not give farmers flexibility
- Over-dependence on agriculture for employment due to slow growth of non-farm sector in villages

THE CONTROL

- Contract farming as a major initiative to involve corporate India
- Optimum use of land, consolidation of holdings, support to small farmers to grow high value crops, and land policy reforms such as legalisation of land leasing throughout the country
- Public investment in agricultural infrastructure to make crops more remunerative to farmers and make agriculture viable
- Diverting labour to activities like food processing

Consolidation of agricultural holdings is yet to become a reality, with the Government so far shying away from allowing corporate India to enter the sector in a big way by amending existing laws. Instead the buzzword is contract farming, which involves an agreement between the farmer and a sponsor that can be a corporate entity. Under the terms of the contract, the farmer provides a commitment to deliver a specific quantity of a commodity at quality standards determined by the purchaser. The sponsor on its part pledges to support the farmer's crop and to purchase the commodity.

The Government has now proposed the setting up of a

contract farming mission as part of the Eleventh Plan. This could address and resolve issues arising out of such an arrangement. The Government also plans to set a target of involving 10 per cent of the farmer workforce in contract farming in the next four years. And it is working out a dispute resolution mechanism to ensure that the contract is enforced in a fair manner. Planning Commission Deputy Chairman Montek Singh Ahluwalia calls for "out-of-the-box thinking" in responding to the crisis, for as he says, "business as usual is clearly not good enough". Contract farming is an idea whose time has come.